LORTHELAS
RESEARCH

THE RUSSIAN DEBT TRAP

18 JULY 2025

Dumitrache Andrei

SUMMARY

The Russian economy has experienced an ever increasing pressure from outside factors in the past several years. Having shown a thriving economic and financial sectors not so long ago, the Kremlin has observed a decrease in interest from external investors in the past three years and is now faced with several economic hardships.

In this brief report we aim to explore the reasons for the economic decline and give our prediction for the future of Russia's economy in the context of the Ukraine invasion.

I. SEEDS OF ECONOMIC DOWNTURN

Since the beginning of the century the Russian economy has experienced significant growth and political changes. In the initial stages of the transition, the Russian Federation has even explored the probability of entering western markets at more efficient rates through deals and partnerships. Its initial policies were very lenient towards European countries and the US, showing a potential breakthrough in Russian politics for the first time since early 20th century.

In the past decade and a half, the Kremlin took an economic turn for the worse, creating a large disparity between the political behavior shown in the early stages of the transition and current political outlook.

Ever since the initial invasion of Ukraine's territory in 2014, Russian aggression has been met with increasing pressure from sanctions from international actors. It is difficult to pinpoint the political motivations of this behavior since there isn't much data we could rely on. We could, however, take a closer look at the current economic stability and future indicators of the Russian markets and prospects.

Figure 1. Russia's Debt-to-GDP Ratio (2010-2029)

A relevant indicator to start looking for clarity is the debt-to-gdp ratio throughout the past decade and a half. In the following graph we see clear signs of increased spending in order to fund the expansionary visions of the Russian political elite.

We can observe a clear increase in national debt as soon as the military intervention in Ukraine begins. The first debt spike is in 2014 which corresponds to the seizure of the Crimean peninsula, and the second spike corresponds to the full scale invasion of Ukraine in 2022. Both cases are relevant for the stability of the Russian economy. A higher debt usually translates to fewer growth opportunities and increased interest rates when borrowing liquidity. Generally an increase in debt is creating expectations regarding the growth of the economy - meaning that investors expect GDP to rise along with productivity. However, in Russia’s case, debt is used to finance domestic war related industries. This imbalance puts considerable pressure on the debt bubble it is currently experiencing.

Additionally, debt used to finance such operations is steering investors away from the economy since there is no growth and could also create morale issues for prospective investors.

We think this is relevant for the future of the Russian-Ukrainian war because projections show that debt is on a constant rise with no signs of slowing down in the near future. IMF projections show that debt will continue to grow in cycles, most likely according to global liquidity cycles and will reach a 25.1% ratio to GDP in 2029. We would like to remind you that this debt is not used to finance healthy economic prospects, but to wage war.

This analysis, along with the IMF projections, give a clear picture of the future of this conflict from an economic standpoint. If Russia continues its transition into a war-based economy we are likely to see the entire country enter a spiral of economic downturn since there will be no productivity and the debt will continue to grow. We could also expect higher interest rates in case the Russian economy will be externally funded in the following years.

Another relevant indicator is the balance account deficit which shows us the health of the Russian economy give its actions in the past decade.

In the past years we have heard several times that economic sanctions do not work and that we should look for other methods of stopping the Russian-Ukrainian war. We have a different opinion on sanctions and we use the current account balance as a starting point for our claims.

Figure 2. Russia's Current Account Balance (2010-2025)

Using the account balance indicator we are able to see effects of sanctions from the beginning of the Russian invasion in 2014 up until the most recent issued sanctions in 2024. We can see a clear trend showing higher deficits as the war progresses with a sharp decrease in deficits starting in December 2023.

Our research points to the fact that the Kremlin looked for alternative markets to expand to once European and American sanctions started taking a toll on the Russian economy. At the time of writing this report Russia is looking to sell to the same markets through third parties. Indian and Chinese markets, especially for oil, have been very helpful in reselling commodities to the same markets Russia used to sell before the sanctions were put in place.

While this is a good measure for the short-term health of the Russian market, the long-term prospects look dire as long as sanctions are kept. We believe that the only reason Russia is still able to circumvent western sanctions through Indian and Chinese markets is because of the price of URALS oil, which we will explore in the upcoming sections.

Currently, the account balance looks stable, but we believe this is just a short-term measure that solved the increasing deficit. Russia must regain first-hand access to its former commodities markets or will face a slowly increasing deficit over the next few years.

II. CURRENT PROSPECTS

The analysis of historical prospects can give us useful insights on the state of the Russian economy. However, for a better understanding of current events and future plans we aim to take a closer look at the current prospects of the Russian economy.

In our research on this topic we assign a great deal of importance to the price of URALS oil, the main economic driver of Russian exports.

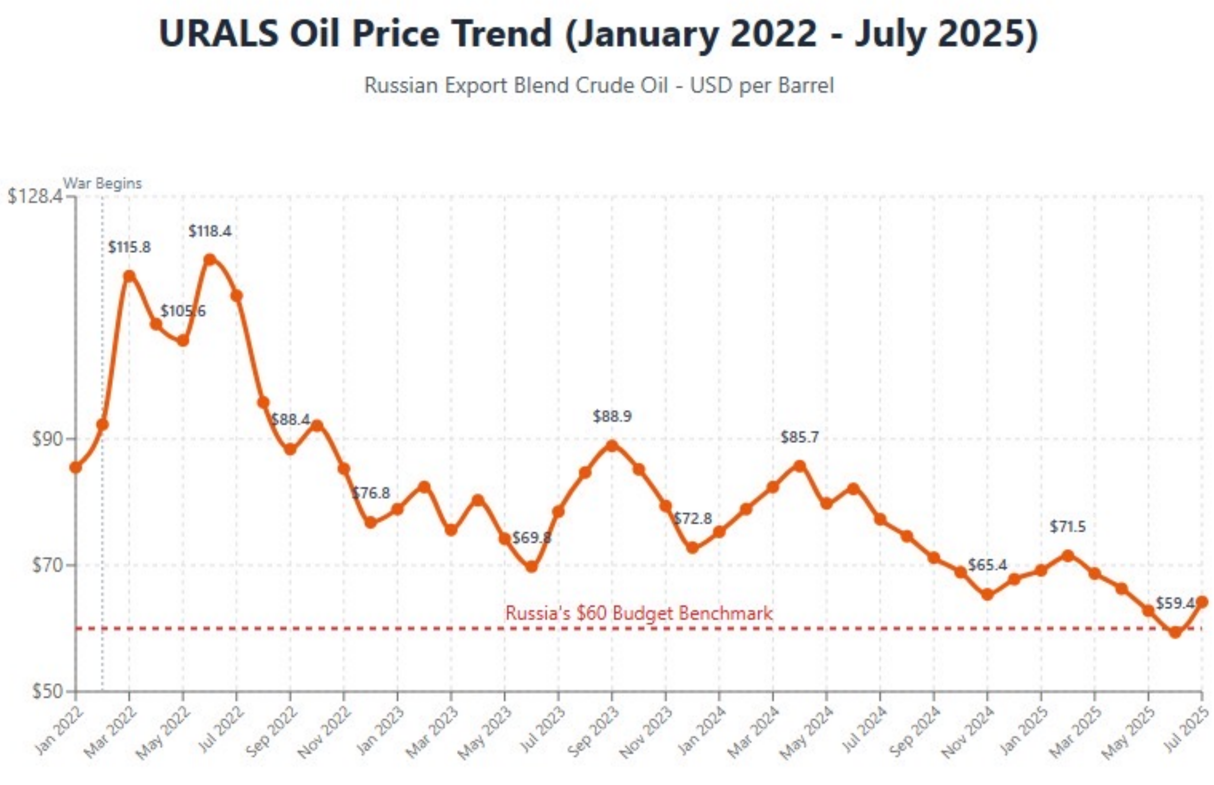

Figure 3. URALS Oil Price Trend (2022-2025)

A closer look at this main economic driver shows us that since the beginning of the Russian invasion the underlying oil price has seen a significant decrease and is currently in a 3-year downtrend.

Initially the decrease in oil price has been seen as a temporary downtrend, with an uptrend on the horizons being observed as the politics tend to heavily shape the commodities markets. This, however, did not happen as expected and the URALS oil price continued its downtrend even through the recent US intervention in Iran.

The current price of oil is a significant marker for the health of the Russian economy, and hence for the continuation of the invasion of Ukraine. As stated by Russian officials, their target is to keep the oil price above $60 a barrel in order to be able to fund the war machine. Any outstanding price test under this benchmark would put significant pressure on the Russian economy and society. Our technical analysis shows a continuing downtrend for the next years but we cannot claim accuracy since we could expect a trend break if war progress stalls or other significant world events that could affect the price of oil occur. However, even with global-scale events the price of URALS oil is still being kept at a constant level through international sanctions.

We believe that as long as the URALS oil will continue its downtrend and as long as the war wages on, the economy will suffer further and the entire industry will have to shift focus to less-service inclined domains. Additionally, a larger focus will need to be put on basic necessities industries and less on commodity driven ones as the Russian economy closes its borders for international investors and becomes secluded.

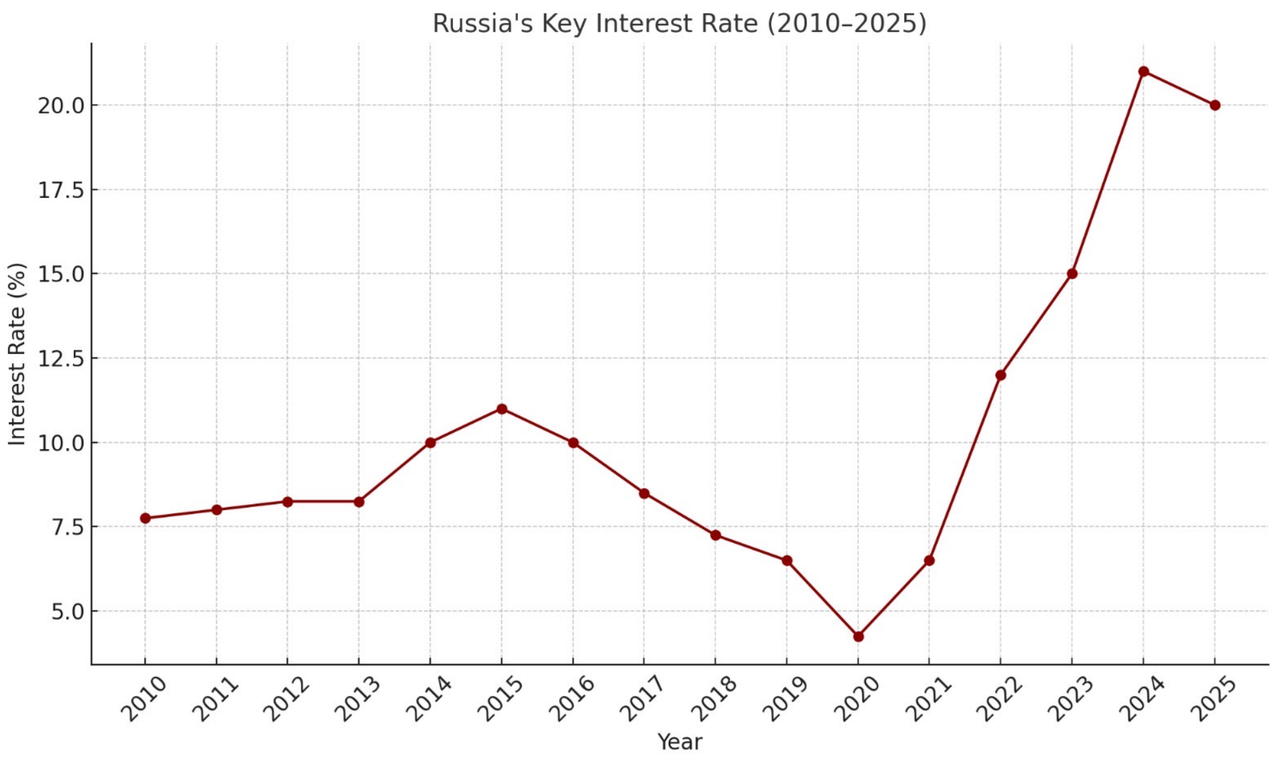

Figure 4. Russia's Key Interest Rate (2010-2025)

While Russian officials keep dodging an economic recession with the help of commodities and third party trading, the Russian citizens experience all the disadvantages of an economy-at-war. In order to understand the weight of sanctions and increasing debt on the economy we can take a look at the Russian Central Bank's (CBR) interest rate changes over the past years.

Through notable measures, the CBR managed to keep the interest rate at a steady pace in the past decade, even through the initial sanctions imposed on Russia as it decided to invade Crimea. However, as the economy begins to suffer due to long exposure to sanctions the interest rates must go up to combat inflation and increased government spending. As the war wages on, the Kremlin keeps increasing its balance sheet through quantitative easing in order to fund the invasion.

Additionally, reports of high-paying stimulus have been recently discovered as new citizens are called to arms. The additional pressure put on the central bank to keep providing funds for both the defense sector and soldiers' stimulus packages forced the key interest rate to a higher percent, which is now sitting at 20-21%.

This interest rate range can only be sustainable if the cash injections are used for development and economic growth, as opposed to stimulus which would only increase short and medium term consumption. We expect to see GDP growth due to this consumption trend, but we must note that growth through consumption is generally a fake and unreliable measure of real growth since there is no productivity in any sector of the economy.

Finally, we must also acknowledge the pressure that is being placed on the civilians - as the war wages on and interest rates keep going up, the average civilian will have to pay more for mortgages and will have less opportunities to pursue higher paying jobs since investors are not keen on opening businesses in a high-interest environment.

As long as the money is expensive, both internal and external investors will avoid borrowing to open businesses, hence workers face the risk of rising unemployment. Unless key metrics in the Russian economy or the financial markets change drastically, the CBR is forced to increase its interest rate (or best case scenario to maintain current rates) in order to meet the demand of the current military actions.

III. THE FUTURE OF THE RUSSIAN ECONOMY

We believe that one of the most important aspects of the current situation in Ukraine is the state of the Russian economy. As long as the Kremlin is able to fund this war using commodities prices, market re-routings and high interest rates, we might see a continuation of the war in the years to come.

We plan on offering a different perspective of the way the war could end by analyzing economic trends and indicators. We believe they could accurately predict the following years.

A good way to measure the upcoming changes in the conflict is the National Wealth Fund (NWF) of Russia. This indicator measures the amount of assets, both liquid and illiquid, are currently being used to fund the conflict. We analyzed the open source data related to these assets and found two key moments during which the fund saw significant transfers. The first moment is right before the 2014 invasion, showing a steep decline in value over a period of 5 years, and the second instance was during the start of the 2022 invasion of Ukraine. Both are key moments for the evolution of the NWF.

Figure 5. Russia's National Wealth Fund (NWF) (2008-2025)

We believe that the future of this European conflict lies heavily within the means of this graph. Several other indicators demonstrate the progression of the Russian economy. However, the National Wealth Fund is primarily used to fund the defense industry, so we believe it is the most accurate measure we can currently look at.

We can clearly see a sharp decline in asset value over the course of the past 3 years which could be in part explained by more stringent sanctions being imposed recently. Additionally, there is a significant difference between the total value and the liquid assets present in the fund. We interpret this disparity through a dramatic change in Russian politics.

A steep decline in liquid assets could show a decrease in Russian aggression over the next years as the central bank rushes to refill their NWF balance sheet. This measure makes us believe that as long as the fund keeps losing its value over time, the invasion will either slow down or even stop, depending on the Kremlin’s ability to add more liquid assets to the NWF. Conversely, as long as the fund lacks liquid assets the progress on the war front will suffer since assets will not be as easily accessed according to immediate military needs.

Besides the NWF liquidity problem, we would like to add to the conversation the ever increasing dependency on third parties. Russia has recently exposed its industries to other political actors in hopes of ending the conflict earlier than expected. As it turns out, it exports to the same western markets as before through third parties, but the country also depends heavily on the Chinese market as a whole for investments, services and products. We believe China could see a potential resource heavy partner in Russia rather than an ally, which could lead to some political friction in the years to come as this collaboration is exploited by both China and the western countries.

IV. CONCLUSIONS

While by no means exhaustive, this report aimed to shed some light on the recently developing events in Eastern Europe using macroeconomic indicators. We would like to note that while the Russian economy is showing strong signs of recovering, and in some cases even economic growth, the reality is objectively different and more complex than what we see firsthand.

We closely monitor recent developments in Russian economics and political partnerships in order to get an edge over what the future holds for this region. As more and more data comes to light, we strive to better understand this conflict and predict its future prospects.

In summary, we predict a decline in Russia's economic power over the next following years, decline which could be exacerbated by the continuation of the conflict in the region. Additionally, we believe that Russia's close allies are rather interested in its resources for personal larger scale operations rather than mutual collaboration benefits.

The economic data we analyzed pictures a declining economic power as events have unfolded in the past 3 years and we expect a continuation of this trend if key indicators do not change courses. While still capable of funding top industries, oil prices have shown a sharp decline and are currently found in a downtrend, with very few ways of evading its current prospects.

Additionally, internal economic factors like increasing debt, overconsumption, stimulus packages for conscripts and high interest rates will push the government into a corner in which only external investments could help. This is the main reason why we believe China will step up and intervene in Russian economics using the same strategies that they used in developing countries: debt rollover and, in the worst case scenario, industry control as the debt cannot be paid back.

---

[1] Trading Economics: NWF Assets

[2] CEIC Data: NWF Historical Data

[3] Trading Economics: URALS Oil Historical Data

[4] Statista: NWF Fund Volume

[5] Bloomberg: Liquid Assets Coverage

[6] MacroTrends: Debt-to-GDP Ratio

[7] IMF: Debt Projections

[8] WorldEconomics: Gross Debt-to-GDP